

Indent to Dispatch

SOP REFERENCE SOP-PROC-01	MODULE Procurement → Indent to Dispatch	SCREEN /procurement
APPLIES TO Site Engineers, Purchase Team, Accounts, Store, L1/L2/CRM Approvers, Admin	PROCESS OWNER Purchase Head	VERSION 1.0

1. Purpose

To define the single authorised procedure for requesting, approving, purchasing, receiving and billing project material, so that:

- material is planned rather than bought in panic;
- no purchase is committed without competitive quotes and recorded approval;
- stock already owned is consumed before fresh material is bought;
- every rupee of shortage or over-billing is recovered from the vendor;
- the current position of any material request is visible without a phone call.

2. Scope

Covers all material movement for a project from the raising of an indent to the receipt, billing and payment of that material – including free-of-cost (FOC) items, returnable material (RGP), rented tools, and items outside the client BOQ.

Does **not** cover: labour payments (see Indent Labour Payment), client receivables (see Collections), or subcontractor billing.

3. Roles and responsibilities

ROLE	RESPONSIBLE FOR
Site Engineer	Raising the indent with correct site, category, item and quantity.
L1 Approver	First approval. Verifies need against stock and BOQ; adjusts approved quantity.
L2 Approver	Second approval, where the L2 gate is switched on. Final sign-off.
CRM Approver	Approves billable Extra indents (Schedule and Non-Schedule) and sets the client margin.
Purchase Team	Collecting three vendor quotes, finalising the rate, raising the Vendor PO, chasing the purchase bill.
Accounts	Clearing advance payments and old vendor dues that block despatch.
Store / Site	Recording receipt (GRN) with accurate received quantity.
Admin	Approval gate configuration, permissions, and opening an emergency indent day.

4. Definitions — indent categories

Selecting the correct category is mandatory. It determines which items can be picked and which approvals apply.

CATEGORY	USE WHEN	ITEM SOURCE	NOTES
Material	The item exists on the client BOQ.	BOQ line → sub-item from Item Master	The normal case. Covers PO and FOC items.
RGP	Material goes to site and returns (scaffolding, test equipment).	Item Master, type = RGP only	No BOQ link. Returnable Gate Pass.
Extra · Schedule	The item is on the BOQ but more quantity is needed than the BOQ allows.	BOQ line, quantity cap removed	Billable. Requires CRM approval.
Extra · Non-Schedule	The item is entirely outside the BOQ.	Item Master, free pick	Billable. Requires CRM approval and a margin %.
Rental	A tool is being rented rather than bought.	Item Master, type = RENTAL	Days × Rate/Day. Blocked if renting costs ≥ buying.

5. Procedure

5.1 Stage 1 — Raise the indent

Performed by: Site Engineer · **Screen:** Raise Indent tab

1. Confirm today is an indent day. Routine indents are open on **Wednesday** (mid-week stock review) and **Saturday** (next-week lookahead) only. A green banner confirms raising is open.
2. If today is not an indent day and the material genuinely cannot wait, use **Raise Emergency Indent**, tick the emergency confirmation, and record a reason. The reason is mandatory and the indent is flagged EMERGENCY through the whole approval chain.
3. Click **Raise Indent**.
4. Select the **Site**. Sites are sourced from Business Book. Confirm the helper line reports BOQ items available; if it reports zero, the Client PO has not been uploaded — stop and get it uploaded first.
5. Confirm **Raised By**. This is locked to the logged-in user and cannot be changed.
6. Select the **Category** per section 4.
7. Add items:
 - Material / RGP / Extra · Schedule — select the BOQ line, then the sub-item from Item Master.
 - Extra · Non-Schedule / Rental — select directly from Item Master.
 - For Rental, enter Days and Rate per Day on each line.
8. Check the summary chips (BOQ items, sub-items, Chargeable, FOC, POs expected) against what was intended.
9. Submit. The indent is created with status SUBMITTED and enters the approval queue.

Control: An indent cannot be backdated. The date and time are recorded automatically on creation.

5.2 Stage 2 — Approval

Performed by: L1 Approver, then L2 Approver where enabled. CRM Approver acts first on Extra indents.

· **Screen:** Raise Indent tab → Approve

1. Open the indent and click **Approve**. The approval screen opens — do not treat this as a simple yes/no.
2. Read the **Stock check** banner. It reports how many lines are already covered by existing stock.
3. Review each line against the **Office Stock** and **Site Stock** columns.
4. Set the **Approved Qty** per line. This may be reduced below the requested quantity. Entering **0** approves the indent while rejecting that single line.
5. Where stock is to be issued rather than purchased, enter the quantity in **From Store**. The balance moves automatically to **To Procure**.
 - From Store is deliberately not pre-filled. Judge each case — transport from a distant store may cost more than fresh purchase, and stock may be reserved or of unusable quality.
6. For Extra indents, the CRM Approver enters the **Client quotation margin %** to be added on top of cost for the client's billable line.
7. Verify the **Approved Budget Total** and the From Store / To Procure split totals.
8. Click **Approve Indent**.

To reject: click **Reject** and record a reason. **The reason is mandatory** and is visible to the person who raised the indent.

Control: Where the L2 gate is switched on, L1 and L2 must be different people. L1 approval alone does not release the indent.

Result: On approval, any From Store quantity generates a **Store Issue Challan** automatically. The remaining quantity becomes available in Vendor Rates.

5.3 Stage 3 — Collect vendor rates and finalise

Performed by: Purchase Team · **Screen:** Vendor Rates tab

1. Only indents that have cleared approval appear here. If an item is missing, it is not yet approved.
2. For each item, enter **three vendor quotes** — Name, Rate and Terms (Advance or Credit; Credit requires credit days).
 - Use the **Bulk fill** bar where one vendor quotes many items: tick the rows, select the vendor slot, pick the vendor and terms, and apply. Rates remain per item.
3. Use **PP Rate** (planning BOQ purchase price) and **Mktg Rate** (estimated minimum market rate) as reference only. They do not alter the entered quotes.
4. Click **Finalize** and confirm the selected vendor, rate and terms. The lowest quote is pre-selected; overriding it is permitted but must be a deliberate decision.

Control — no exception: All three vendor quotes (name and rate) must be present before a rate can be finalised. This is enforced by the server and applies to Admin users as well.

5.4 Stage 4 — Raise the Vendor PO

Performed by: Purchase Team · **Screen:** Vendor PO tab

1. Work from the **Pending for Vendor PO** sub-tab — finalised rates with no PO yet.
2. Click **Create Vendor PO** and complete:

FIELD	INSTRUCTION
PO Number	Read-only. Issued automatically as <code>VPO/YYYY/####</code> on save.
PO Date	Date of issue.
Link to Indent	Mandatory in practice — auto-fills the vendor and loads indent items. Without it, the Pending list will not clear.
Vendor	Auto-filled from the finalised rates where all items agree.
Expected Receipt Date	Date goods are due. Drives bill follow-up order and all delay reporting. Enter realistically.
Freight Terms	Ex-Works (we arrange transport) or FOR (vendor delivers to site).
Freight Amount	Added to the PO total and printed on the PO.
GST %	Defaults to 18. Change where the material attracts a different slab.

3. Save. The PO prints in company format.
4. The PO requires **L1 approval followed by L2 approval**. It is not live and must not be issued to the vendor until L2 approval is recorded.

5.5 Stage 5 — Clear blocking payment

Performed by: Accounts · **Screen:** Payment tab

1. POs requiring an advance, or held against old vendor dues, appear under **Payment Urgent**. The vendor will not despatch until these are cleared.
2. Clear the payment and mark the PO cleared, recording a note.
3. The PO moves to **Recently Cleared** and becomes visible to the Purchase Team in Purchase Bills.

Control: POs pending payment clearance are hidden from Purchase Bills. Purchase must not chase a bill on a PO the vendor is holding. A banner in Purchase Bills reports how many POs are hidden for this reason.

Where a PO carries no advance and no old-dues hold, it bypasses this stage entirely.

5.6 Stage 6 — Book the purchase bill

Performed by: Purchase Team · **Screen:** Purchase Bills tab

1. Work from the **Follow-up** sub-tab, which lists POs awaiting a vendor bill sorted by Expected Receipt Date, oldest first. Chase from the top.
2. Click **Upload Bill** against the PO.
3. Verify the per-item **PO Qty / Received / Short** table and correct the received quantity where the delivery was short. The bill amount recalculates.
4. Enter the bill number, bill date, and GST. Attach the bill file.
5. Save.

Result: A challan is generated automatically on saving a purchase bill. Do not raise one separately. The **Debit / Net Pay** column shows the amount payable after any debit notes.

5.7 Stage 7 — Despatch to site

Performed by: Purchase Team · **Screen:** Dispatch & Receiving tab

1. Work from **Ready to Dispatch** — billed POs with no client Sales Bill yet.
2. Select the document type:
 - **Sales Bill** — a tax invoice to the client. Requires the complete Bill To block: client name, address, GSTIN, state and state code, drawn from Business Book. GST splits automatically (CGST/SGST within Punjab, IGST outside). Missing fields are flagged and must be corrected in Business Book.
 - **Delivery Note / Challan** — for FOC, RGP and receipt-only movement. No client billing.
3. Where only a delivery note is required, use **Open Auto-Generated DN**, which is pre-filled from the PO with vendor, client, site, items and HSN.
4. Save and issue.

5.8 Stage 8 — Record receipt (GRN)

Performed by: Store / Site · **Screen:** Dispatch & Receiving tab → Mark Received

1. Open **Mark Received** against the PO or delivery note.
2. For every line, confirm the **Received** quantity against **Ordered**.
3. Where the received quantity is lower, record a **short reason** on that line.
4. Confirm the header indicator reads either "Full delivery" or the correct count of short lines.
5. Save.

Result — three actions occur automatically:

- Stock is increased by the **received** quantity, never the ordered quantity.
- Where material is short, a **short-supply Debit Note** is raised against the vendor.
- Where applicable, a **draft Sales Bill** is generated for completion.

Control: The accuracy of stock, vendor recovery and client billing all depend on this stage. An inaccurate GRN silently under-recovers money from the vendor.

5.9 Stage 9 — Debit notes

Performed by: System (automatic); Purchase Team for discretionary cases · **Screen:** Debit Notes tab

Debit notes are raised automatically on variance:

TYPE	TRIGGER
Extra Rate	Vendor bill exceeds the PO rate.
Short Supply	Received quantity is less than ordered.
Rejected	Material rejected at GRN.

Use **Manual Debit Note** only for a discretionary claim outside these three. Each note prints in company format and its value is deducted in the Net Pay on the purchase bill.

5.10 Stage 10 — Track and report

Performed by: All · **Screen:** PO Pipeline tab

1. Each PO shows eight stages: Requested, Approved, Ordered, Dispatched, Received, Issued, Purchase Bill, Paid.
2. Delivery status is shown against the Expected Receipt Date:

INDICATOR	MEANING
ETA (<i>date</i>)	On track, not yet due.
LATE <i>nd</i>	Overdue and not yet received.
on time	Received on or before the expected date.
was late <i>nd</i>	Received after the expected date.
no ETA set	Expected Receipt Date was not entered on the PO.

3. Where a PO is late, the responsible person must **log a delay reason**. The reason is visible to everyone.

6. Mandatory controls

These are enforced by the system and cannot be bypassed by any user, including Admin.

#	CONTROL
1	Routine indents may be raised on Wednesday and Saturday only. Any other day requires an Emergency indent with a recorded reason.
2	All three vendor quotes (name and rate) must be present before a rate can be finalised.
3	A rental indent is blocked where the rental cost is equal to or greater than the cost of outright purchase.
4	A rejection cannot be saved without a reason.
5	PO numbers are issued by the system as <code>VPO/YYYY/####</code> and cannot be entered manually.
6	A Vendor PO requires both L1 and L2 approval before it is live.
7	POs blocked on payment are withheld from Purchase Bills until Accounts clears them.
8	Stock is increased by the received quantity, never the ordered quantity.
9	Where the L2 indent gate is enabled, L1 and L2 must be different people.

7. Documents generated automatically

Do not raise any of the following manually.

DOCUMENT	GENERATED WHEN
Store Issue Challan	An indent is approved with a From Store quantity.
Challan	A purchase bill is uploaded.
Debit Note — Short Supply	A GRN records a short receipt.
Debit Note — Extra Rate	A purchase bill exceeds its PO.
Draft Sales Bill	Material is received, where a client bill is due.
Quotation	An Extra · Schedule indent is raised.

8. Master data — correct at source

The following cannot be corrected on this screen and must be fixed where the data originates.

SYMPTOM	CORRECT AT
Site not listed when raising an indent	Business Book
No BOQ items load for the selected site	Upload the Client PO
Client GSTIN, address or state missing on a Sales Bill	Business Book
Item not available, or its rate is wrong	Item Master
A user cannot see a tab	Admin → Roles & Permissions

9. Access

Visible tabs depend on the user's permissions for the `procurement` module:

PERMISSION	SEES
Create	Raise Indent only
Approve	All tabs — Vendor Rates, Vendor PO, Payment, Purchase Bills, Dispatch & Receiving, Debit Notes, PO Pipeline, Responsible
Admin	All tabs, plus Workflow Settings and emergency day control

Approval gates are configured under  **Workflow Settings** (Indent L1, Indent L2 with on/off switch, CRM, Vendor PO L1 and L2). Per-record RACI and SLA tracking is reported under  **Responsible**. These are separate: Workflow Settings controls who may act; Responsible reports what happened.

10. Performance measures

MEASURE	TARGET
Emergency indents as a share of total indents	Below 5%
POs received on or before Expected Receipt Date	Monitored on PO Pipeline
Late POs carrying a logged delay reason	100%
Indent lines approved without checking stock coverage	Nil

11. Exceptions and escalation

SITUATION	ACTION
Material required on a non-indent day	Raise an Emergency indent with reason. For a site-wide emergency, Admin may open the full day.
Only one or two vendors will quote	The rate cannot be finalised. Obtain the third quote, or escalate to the Purchase Head for a documented decision.
Vendor holding despatch against old dues	Escalate to Accounts through the Payment tab. Do not chase the bill.
Client PO / BOQ not uploaded	Escalate to the CRM owner. The indent cannot proceed correctly without it.
Received material rejected on quality	Record the correct received quantity at GRN with the reason. A debit note is raised automatically.